

Calculating Monthly Payment for Amortized Loan

Use an amortization chart to calculate the monthly principal and interest payment on a given loan.

To make the calculation, you'll need to know the:

- Interest rate on the loan
- Term of the loan
- Amount of the loan

Begin by using the amortization chart to find what is known as the "factor." The factor is the number that allows you to calculate the actual monthly payment, which includes slightly more principal and slightly less interest each month as the loan is paid off.

For example, if your client has a loan with a term of 30 years and an interest rate of 3.5%, you would use the chart to find the cell that corresponds with these values. This gives you a factor of 4.49045.

Amortization Chart
Monthly Payment Per \$1,000 of Mortgage

Rate (%)	Interest Only	10 year	15 year	20 year	25 year	30 year	40 year
2.000	0.16667	9.20135	6.43509	5.05883	4.23854	3.69619	3.02826
2.125	0.17708	9.25743	6.49281	5.11825	4.29966	3.75902	3.09444
2.250	0.18750	9.31374	6.55085	5.17808	4.36131	3.82246	3.16142
2.375	0.19792	9.37026	6.60921	5.23834	4.42348	3.88653	3.22921
2.500	0.20833	9.42699	6.66789	5.29903	4.48617	3.95121	3.29778
2.625	0.21875	9.48394	6.72689	5.36014	4.54938	4.01651	3.36714
2.750	0.22917	9.54110	6.78622	5.42166	4.61311	4.08241	3.43728
2.875	0.23958	9.59848	6.84586	5.48361	4.67735	4.14892	3.50818
3.000	0.25000	9.65607	6.90582	5.54598	4.74211	4.21604	3.57984
3.125	0.26042	9.71388	6.96609	5.60876	4.80738	4.28375	3.65226
3.250	0.27083	9.77190	7.02669	5.67196	4.87316	4.35206	3.72541
3.375	0.28125	9.83014	7.08760	5.73557	4.93945	4.42096	3.79930
3.500	0.29167	9.88859	7.14883	5.79960	5.00624	4.49045	3.87391
3.625	0.30208	9.94725	7.21037	5.86404	5.07352	4.56051	3.94923
3.750	0.31250	10.00612	7.27222	5.92888	5.14131	4.63116	4.02526
3.875	0.32292	10.06521	7.33440	5.99414	5.20959	4.70237	4.10198
4.000	0.33333	10.12451	7.39688	6.05980	5.27837	4.77415	4.17938

Notice that the amortization chart gives you a factor "per \$1,000 of mortgage." So, to complete the calculation, you'll next need to divide your client's loan amount, which is \$125,000, by 1,000. Then you will multiply that result with the factor to find the monthly payment of principal and interest.

(Loan amount ÷ 1,000) × factor = monthly payment of principal and interest

(\$125,000 ÷ 1,000) × 4.49045

\$125 × 4.49045

\$561.30625 = \$561.31 monthly payment

So, you will round up to find that the client's monthly principal and interest payment for the next 30 years (if they don't refinance, or sell their home) is \$561.31. Don't forget that they'll probably be paying into an escrow account for taxes and insurance, as well. But those amounts are variable and are not covered in this calculation.